

CRAFT SNACKS

Growth Initiative: Crafting a Growth Loop

User Acquisition & Sustainable Growth Plan

Presented by: Christopher O'Hara | Growth Product Manager

Strategic Planning Stakeholders: Marketing · Operations · Support

PART 1

Inspecting the Landscape

Business Goal and Product Strategy

BUSINESS GOAL

Achieve 20% month-over-month growth in new monthly subscribed users over the next quarter.

Current baseline: 2,100 new subscribers/month
Target by end of Q3: ~3,629/month
($2,100 \times 1.20^3 \approx 3,629$)

The business seeks SUSTAINABLE growth : compounding acquisition over time, not a one-time spike.

PRODUCT STRATEGY

Create viral growth by leveraging the existing customer network.

What this means for EXISTING customers:

- Engage them with the product in a meaningful, shareable way
- Amplify their natural enthusiasm and sharing behavior (36% already share)

What this means for POTENTIAL customers:

- Help new visitors realize product value faster through authentic peer voices
- Build trust through social proof to overcome quality and reliability concerns

Core mechanism: existing customers become a viral acquisition engine for new ones.

Growth Components

ACQUISITION

How users discover Craft Snacks:

- Online ads: 55% of new visitors
- Search engine results: 27%
- Social media sharing: 18%

Metric:

- New Visitor Sessions
70,000 / month

ACTIVATION

How visitors become subscribers:

- Land on the website landing page
- Learn about the value proposition
- Sign up for \$30/month subscription

Metrics:

- New Visitor Conversion Rate: 3%
- New Monthly Subscribed Users: 2,100

RETENTION

How customers stay engaged:

- Adjust monthly snack theme (65% of MAU)
- Write & share reviews (48% of MAU)
- Track order status (17% of MAU)

Metric:

- Monthly Active Users: 30%
(= ~36,000 active/month)

REFERRAL

How customers share Craft Snacks:

- Post snack box photos on social media (Instagram, Facebook, etc.)
- 36% of customers share spontaneously

Metric:

- Social media as acquisition channel
currently = 18% of new visitors
- ~12,600 new visitors/month via social

REVENUE

How Craft Snacks monetizes:

- Monthly subscription: \$30/month
- Cancel anytime model

Metrics:

- Monthly Subscribed Users: 120,000
- Monthly Recurring Revenue: ~\$3.6M / month

Growth Metrics

PRIMARY METRIC: Directly reflects the business goal

New Monthly Subscribed Users | Baseline: 2,100/month | Target: 20% MoM growth | This is the one metric that directly tracks whether we are achieving the business goal.

UPSTREAM METRICS: Impact the Primary Metric

- New Visitor Sessions (70,000/month): More visitors = more potential sign-ups
- New Visitor Conversion Rate (3%): Higher conversion = more new subscribers directly
- Social Media Sharing Rate (18% of acquisition): More shares = more referral traffic = more visitors
- % of Existing Customers Sharing on Social (36%): The raw engine feeding the referral channel

DOWNSTREAM METRICS: Impacted by the Primary Metric

- Monthly Subscribed Users (120,000 total): Grows as new subscribers accumulate
- Monthly Active Users (30% MAU): More subscribers = larger active base
- Review Writing Rate (48% of MAU): Active base drives more reviews = more social proof
- Social Sharing Volume: More subscribers → more sharers → reinforces the loop

Target Persona

EXISTING CUSTOMERS: The Experience Enthusiast

- Love new experiences & the element of surprise
Evidence: "The majority look forward to Craft Snacks and its element of surprise"
→ Core retention driver; theme variety is critical.
- Natural social sharers
Evidence: 36% have posted snack box photos on social media unprompted
→ High untapped referral potential; sharing is intrinsic, not forced.
- Emotionally bonded with product
Evidence: 45% identify a 'favorite snack' and take action to re-obtain it
→ Deep brand attachment; favorite snack = upsell/cross-sell opportunity.

POTENTIAL CUSTOMERS: The Curious Snack Explorer

- Intrinsically motivated to discover new snacks
Evidence: "I am interested in trying out new snacks"
→ Interest is there: activation barrier is trust, not desire.
- Trust is the primary barrier (quality anxiety)
Evidence: "What if I don't like the majority of the snacks?"
→ Authentic peer reviews could directly address this fear.
- Reliability anxiety (fulfillment & packaging)
Evidence: "What if the order doesn't arrive?" / "poorly packaged?"
→ Social proof showing real deliveries can build confidence.
- Visually attracted but not yet activated
Evidence: "The website looks really fun and piqued my interest"
→ Curiosity exists; we need a compelling conversion trigger.

PART 2

Mapping Out the Path to Growth

Growth Problem Framing

RESOURCES

What existing assets can we leverage?

- 120,000 active subscribers, 30% of whom engage meaningfully every month (~36,000 MAU)
- 36% of customers already spontaneously share snack box content on social media without any platform incentive
- 48% of MAU write and share reviews on the platform: rich UGC pipeline

VALUES

What opportunities can we unlock?

- Existing customer shares = authentic, zero-cost marketing touchpoints that build trust with potential customers
- Peer reviews directly address the #1 barrier for potential customers: product quality uncertainty ('What if I don't like them?')

HURDLES

What is blocking potential customers?

- Product quality uncertainty: No trial option or visible social proof at the point of conversion to reduce 'what if I hate it?' fear
- Reliability anxiety: Concerns about order delivery and packaging quality are not addressed on the landing page

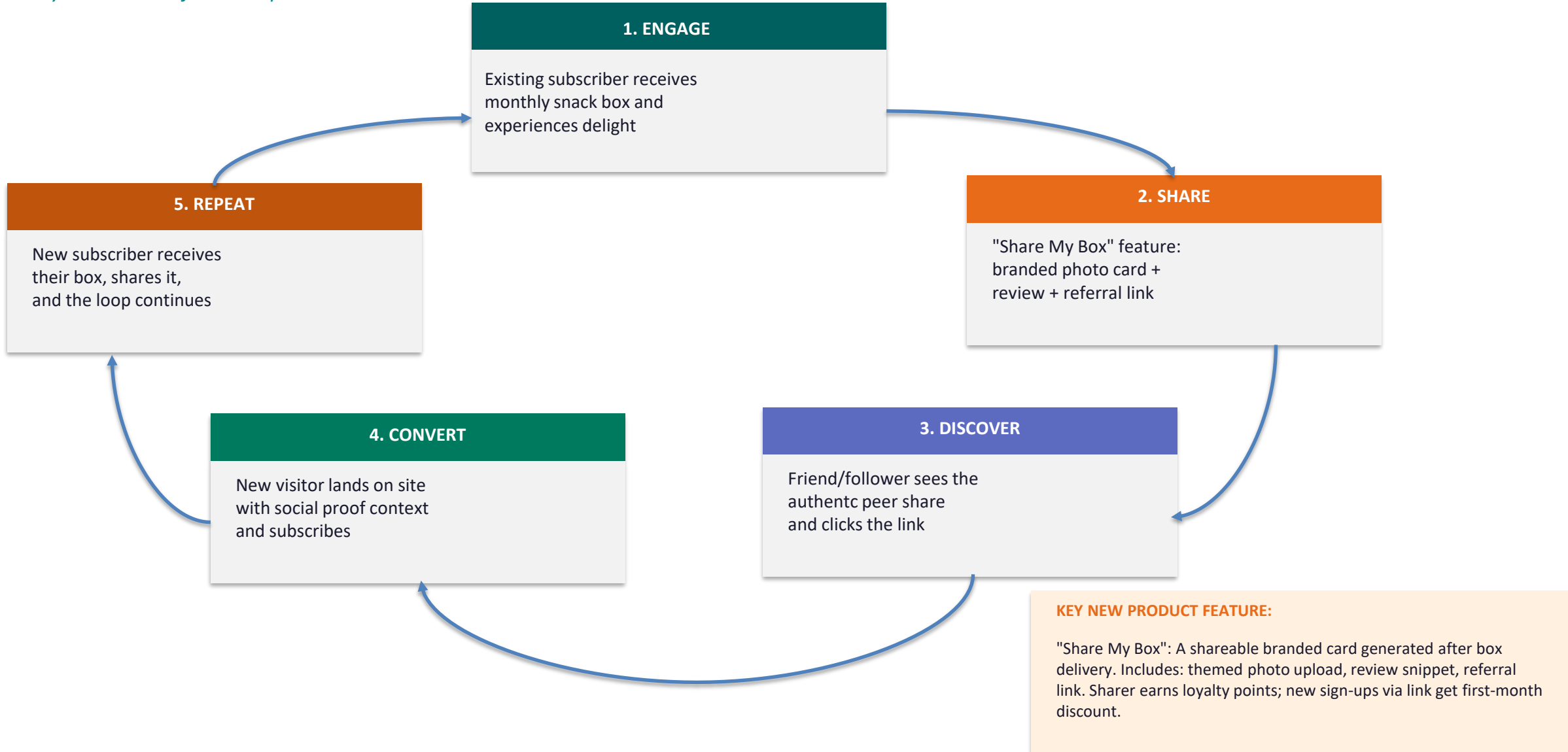
GOAL

What are we trying to achieve?

- Achieve 20% month-over-month growth in new monthly subscribed users over the next quarter by turning existing customers into a viral, self-sustaining acquisition engine through social sharing

The Growth Loop

Share My Box: Viral Referral Loop



The Growth Loop: Hypotheses

OVERALL LOOP HYPOTHESIS

If we make it easy and rewarding for existing customers to share their snack box experience, their peer endorsements will act as authentic social proof that increases new visitor sessions and converts them at a higher rate, compounding subscriber growth each month.

Step 1 → Step 2

Customers who already share at 36% unprompted will use a branded, incentivized 'Share My Box' feature at a significantly higher rate.

Step 2 → Step 3

Social shares with branded photo cards and referral links will generate click-throughs that increase new visitor sessions from the social media channel.

Step 3 → Step 4

Visitors who arrive via a peer share will convert to subscribers at a higher rate than the baseline 3% because the peer endorsement reduces quality and reliability anxiety.

Step 4 → Step 5

New subscribers, having been recruited via a share, will be primed to share their own first-box experience, sustaining and compounding the loop over subsequent months.

Growth Hypotheses

PRIMARY HYPOTHESIS

If we build a frictionless 'Share My Box' feature that incentivizes existing customers to share their snack box experience on social media, we will increase the social media referral acquisition channel (currently 18%) and new visitor conversion rate, resulting in 20% month-over-month growth in new monthly subscribed users.

SECONDARY HYPOTHESES

H1: SHARING RATE

Existing customers (36% of whom already share organically) will adopt the 'Share My Box' feature at a higher rate when given a branded tool with loyalty point incentives.

H2: REFERRAL TRAFFIC

Authentic peer-generated snack box content shared via the feature will drive measurable increases in new visitor sessions from the social media acquisition channel.

H3: CONVERSION LIFT

New visitors arriving via a peer's share link will convert to paid subscribers at a statistically higher rate than the current 3% baseline due to reduced trust barriers.

H4: LOOP COMPOUNDING

New subscribers acquired through the loop will adopt the 'Share My Box' feature in their first month, sustaining and compounding the growth loop over subsequent months.

PART 3

Validating the Path to Growth

A/B Testing: Goal and Metric

PRIMARY TEST QUESTION	Does introducing the 'Share My Box' feature with loyalty incentives increase the rate at which active subscribers share their snack box experience on social media? • Share Button Click Rate (% of MAU who click 'Share My Box') • Share Completion Rate (% of clicks that result in a published share) • Total Social Shares Generated per month (Group B vs. Group A)
SECONDARY TEST QUESTION 1	Do social shares generated via the feature drive new visitors to the landing page? • New Visitor Sessions from social media channel (vs. baseline 12,600/month) • Social referral traffic as % of total new visitor sessions • Click-through rate on shared referral links
SECONDARY TEST QUESTION 2	Do visitors arriving via peer shares convert to subscribers at a higher rate? • Conversion rate for social-referred visitors (vs. 3% baseline) • New Monthly Subscribed Users from social referral channel • Time-to-conversion for referred visitors vs. organic visitors
SECONDARY TEST QUESTION 3	Do new subscribers continue the sharing loop after receiving their first box? • 'Share My Box' adoption rate among new subscribers in Month 1 • Viral coefficient (K-factor): avg. new sign-ups generated per share

A/B Testing: Audience and Setup

TEST AUDIENCE

Existing active subscribers (Monthly Active Users)
~36,000 users who engaged meaningfully in the past month

Why this audience?

- The first link in the growth loop is EXISTING customers sharing: we must first validate that sharing behavior increases before measuring downstream effects
- Active users are the ones most likely to have recently received a box and have genuine sharing intent
- This group is large enough for statistical significance

Exclusions:

- New subscribers (< 1 month): haven't yet received a box
- Inactive subscribers: no engagement signal to build on

TEST SETUP

50 / 50 random split of ~36,000 active users

GROUP A: CONTROL (18,000 users)

- No 'Share My Box' feature visible
- Current platform experience unchanged
- Can still write reviews as before

GROUP B: VARIANT (18,000 users)

- 'Share My Box' feature enabled post-delivery
- Branded card, photo upload, referral link
- Loyalty points awarded per completed share
- New visitors from Group B shares tracked via UTM-tagged referral links

Controls:

- Same snack box themes for both groups
- Same communications (except feature intro email)
- Test duration: minimum 2 monthly cycles (2 months)
- Referred new visitors tagged for separate conversion rate analysis

A/B Testing Plan: Risks

RISK 1: SELECTION BIAS

RISK:

Users with a prior history of sharing may be unevenly distributed between groups by chance, making Group B's share rate appear artificially high or low.

MITIGATION:

Stratified random assignment: ensure users who previously mentioned social sharing or who have shown high engagement are distributed proportionally across both groups.

RISK 2: NOVELTY EFFECT

RISK:

Group B may show a spike in sharing activity purely because the feature is new and exciting, not because it drives sustained behavior change. This could lead to false confidence.

MITIGATION:

Run the test for at least 2 full monthly cycles. Monitor week-over-week share rates within the test to identify novelty spikes vs. stable adoption. Evaluate Month 2 data separately.

RISK 3: SOCIAL CONTAMINATION

RISK:

Group A (control) users may see Group B shares on social media, become aware of the feature, and adjust their own behavior: contaminating the control group baseline.

MITIGATION:

Accept this as a known limitation of social feature testing. Supplement quantitative data with a post-test survey of Group A users to assess feature awareness and behavioral impact.

RISK 4: INCENTIVE INFLATION

RISK:

Loyalty point incentives may drive low-quality or inauthentic shares (e.g., users share just to earn points, not from genuine enthusiasm), producing shares that generate no conversions.

MITIGATION:

Track share quality metrics alongside share volume: click-through rate on shared links, time-on-site of referred visitors, and conversion rate of referred visitors. Cap loyalty points per user per month to reduce gaming behavior.

Analysis and Next Steps

IF PRIMARY HYPOTHESIS IS PROVEN TRUE

Expected user behaviors to observe:

- Group B share rate is statistically significantly higher than Group A
- Social media referral traffic increases as a % of new visitor acquisition
- Referred visitors convert to subscribers at a rate > 3% baseline
- New subscribers from referred group show early adoption of 'Share My Box'

Subsequent Analyses:

1. SEGMENTATION ANALYSIS: Which customer cohorts (theme preference, tenure, past review activity) drive the highest share and conversion rates? Use this to target feature rollout and personalize incentives.
2. VIRAL COEFFICIENT (K-FACTOR) ANALYSIS: Calculate $K = (\text{avg. shares per user}) \times (\text{conversion rate of referred visitors})$. If $K > 1$, the loop is self-sustaining. Project compounded growth over 3-6 months.

IF PRIMARY HYPOTHESIS IS NOT PROVEN TRUE

Expected user behaviors to observe:

- Group B share rate is not meaningfully higher than Group A
- Referral traffic does not increase relative to baseline
- Referred visitors convert at the same or lower rate than 3%
- Loyalty points are claimed but shares generate no meaningful click-throughs

Subsequent Analyses:

1. DROP-OFF ANALYSIS: Map exactly where users abandon the 'Share My Box' flow. Is friction in feature UX, incentive structure, or platform integration? Use funnel analytics and session recordings to diagnose.
2. QUALITATIVE STUDY: Survey Group B non-sharers: Is the loyalty point incentive insufficient? Is there a privacy concern about sharing? Is the feature confusing? Use findings to redesign the feature or incentive.

PART 4

Developing the Growth Vision

Growth Risks

CUSTOMER RETENTION

PROBLEM:

The growth loop depends on EXISTING subscribers staying active and sharing. If subscriber churn is high, either from disappointment with box quality, theme fatigue, or price sensitivity: the pool of active sharers shrinks, the loop loses momentum, and compounding acquisition stalls. Currently only 30% of 120,000 subscribers are monthly active, meaning 70% are disengaged.

SOLUTION:

Invest in retention alongside acquisition: (1) introduce theme variety and personalization signals to reduce theme fatigue; (2) monitor Monthly Active User rate as a leading indicator, a declining MAU rate signals churn risk before it hits subscriber counts; (3) use the 'favorite snack' behavior (45% of MAU) as a re-engagement hook to draw lapsed subscribers back.

MARKET SATURATION

PROBLEM:

The artisan/gourmet snack subscription market has a finite addressable audience. As Craft Snacks expands, it may exhaust its core segment (experience-seekers, \$30/month commitment), causing share-to-conversion rates to decline even as sharing volume remains high. The loop slows not from lack of sharing, but from lack of unconverted potential customers remaining in the market.

SOLUTION:

Monitor share-to-conversion rate quarterly as the early warning signal. Proactively explore adjacent market segments (corporate gifting, family plans) and refresh monthly themes to appeal to new demographics before saturation sets in. Use the Ansoff Matrix expansion strategies to open new markets before the existing market ceiling is reached.

SINGLE PRODUCT / SINGLE MARKET

PROBLEM:

Craft Snacks currently operates one product (monthly snack box) for one market (individual consumers). If customer preferences shift away from surprise boxes, or if a lower-cost competitor replicates the model, the entire revenue stream and growth engine becomes simultaneously vulnerable, there is no fallback product or market to absorb the impact.

SOLUTION:

Develop complementary revenue streams before the core loop is threatened: a Snack Store for individual item repurchase (45% of subscribers already seek out favorites) creates a new acquisition channel. A B2B corporate gifting tier opens a new market. Diversifying reduces the 'single point of failure' risk and ensures the growth engine has multiple, independent fuel sources.

Product/Market Expansion Opportunity

Ansoff Matrix Analysis

← EXISTING MARKET

NEW MARKET →

MARKET PENETRATION

Existing Product + Existing Market

- Enhance 'Share My Box' with loyalty rewards to increase referral share rate beyond 36%
- Launch a 'Snack Ambassador' program : top sharers earn free boxes / exclusive themes
- Add first-month discount for new sign-ups via referral links to improve conversion rate

Ansoff Risk: Lowest: building on proven product and validated market

MARKET EXPANSION

Existing Product + New Market

- Reframe monthly box as a CORPORATE GIFT solution: bulk subscription plans for companies to gift employees or clients
- Brand the offering as 'Team Snacks' : recurring surprise box for office wellness or client appreciation programs

Ansoff Risk: Medium: same product, new audience and acquisition channel

PRODUCT DEVELOPMENT

New Product + Existing Market

- Build a 'Snack Store': individual item e-commerce for subscribers to repurchase favorites (45% already seek them out offline)
- Creates a lower-barrier entry point for prospective customers hesitant about \$30/mo
- Upsell path: Snack Store user → subscriber

Ansoff Risk: Medium: new product but familiar audience with validated demand

DIVERSIFICATION

New Product + New Market

- Launch 'Craft Snacks Experience Box' : a quarterly premium lifestyle box beyond snacks: artisan beverages, condiments, small-batch kitchen accessories
- Target premium lifestyle subscription market distinct from snack enthusiasts

Ansoff Risk: Highest: new product AND new market; pursue after loop is proven

EXISTING
PRODUCT

NEW
PRODUCT

Growth Loop Optimization

ORIGINAL LOOP (Market Penetration: Existing Product × Existing Market)

- | | | | | |
|----------------|-----------------|---------------------|--------------------|-----------------|
| 1. Receive Box | 2. Share My Box | 3. Friend Discovers | 4. Friend Converts | 5. Loop Repeats |
|----------------|-----------------|---------------------|--------------------|-----------------|

EXPANDED LOOP (Product Development: Snack Store × Existing Market)

- | | | | | |
|---|---|--|--|---------------------------------------|
| 1. Subscriber Finds Favorite Snack in Monthly Box | 2. Visits New Snack Store to Repurchase | 3. Shares Snack Store Find on Social Media | 4. New User Discovers Craft Snacks via Snack Store Content | 5. Upsell to Monthly Subscription Box |
|---|---|--|--|---------------------------------------|

45% of subscribers identify a favorite & actively seek it out

Captures demand that currently leaks to external retailers

Lower sharing barrier: not a \$30 commitment, just a snack find

Reaches customers hesitant about full subscription

Snack Store buyer → subscriber via targeted prompt

HOW THE LOOPS CONNECT: New subscribers from the Expanded Loop (Snack Store → Subscription upsell) enter the Original Loop and become sharers, further compounding acquisition.

Combined Loop Impact:

- Original Loop drives direct viral subscription acquisition via social sharing of the box experience
- Expanded Loop captures the 45% retention signal (favorite snack) and creates a new, lower-friction entry point for hesitant potential customers (those blocked by the \$30/month commitment)
- Upsell from Snack Store to subscription converts warm, product-qualified leads at higher rates
- Both loops feed each other: more subscribers → more Snack Store users → more shares → more new subscribers

Growth Plan Summary and Rationale

ORIGINAL LOOP: Market Penetration

Ansoff Category: MARKET PENETRATION
(Existing Product × Existing Market)

Rationale:

- The data shows 36% of customers already share spontaneously: this is validated, real behavior
- Social media is already 18% of acquisition; the 'Share My Box' feature amplifies what works
- This is the lowest-risk, highest-certainty path to 20% MoM growth because it builds on proven customer behavior without requiring new product development or new market entry

Contribution to Business Goal:

- Directly increases social referral traffic (upstream metric) and conversion rate (upstream)
→ drives new monthly subscribed users (primary)

EXPANDED LOOP: Product Development

Ansoff Category: PRODUCT DEVELOPMENT
(New Product × Existing Market)

Rationale:

- 45% of subscribers already try to find and re-purchase favorites: proven unmet demand
- Snack Store captures value leaking to external retailers and converts it into a new acquisition entry point for subscription-hesitant customers
- Creates a warm-lead upsell funnel: Snack Store buyers are product-qualified leads who already trust Craft Snacks quality (addressing the #1 barrier for potential customers)

Contribution to Business Goal:

- Provides a new upstream path to new subscribed users via lower-barrier product trial first, broadening the addressable acquisition funnel

APPENDIX

Supplementary Research & Feature Specifications

Appendix: Competitive Research

Company	Price/mo	Product Offering	User Experience	Target Customer	Key Differentiator
Craft Snacks (Us)	\$30	Monthly themed artisan snack box 10-15 items	Web-only; simple theme selection; order tracking	Experience-seekers & snack adventurers	Monthly rotating themes; element of surprise
Snack Crate	\$27-\$45	International snack boxes by country; 5-25 items	Web & mobile; country explorer theme selector	Foodies & world culture enthusiasts	Country-specific curation; cultural education angle
Graze	\$13-\$40	Personalized healthy snack boxes; customizable items	Web & mobile; detailed taste preference quiz	Health-conscious adults; office snack programs	Full customization; healthy focus; corporate tier
Mouth	\$35-\$75	Artisan food & snack boxes; small-batch goods	Web marketplace + subscription; browsable catalog	Premium food lovers; gift buyers	Gift-focused; standalone store + subscription
SnackMagic	\$25-\$100	Build-your-own snack box from a catalog of 600+ items	Web; employee benefit platform; bulk ordering	Corporate buyers; office managers	Full item-level customization; B2B-first model

Appendix: User Stories

"Share My Box" Feature: Project Specification
PROJECT NAME: Share My Box (Feature v1.0)

US-01 Existing Subscriber	As an existing Craft Snacks subscriber, I want to generate a branded, shareable photo card after my box is delivered, so that I can share my unboxing experience on Instagram or Facebook in a visually appealing way that reflects the monthly theme.
US-02 Existing Subscriber	As an existing Craft Snacks subscriber, I want to earn loyalty points whenever a friend signs up using my referral link, so that I am motivated to actively share my subscription and feel rewarded for bringing in new customers.
US-03 Potential New Customer	As a potential new customer who saw a friend's snack box post, I want to click a link in the post and land on a page showing my friend's specific theme and reviews, so that I can see authentic social proof before deciding whether to subscribe.
US-04 Potential New Customer	As a potential new customer arriving via a referral link, I want to see a first-month discount offer prominently on the landing page, so that the financial barrier to trying Craft Snacks for the first time feels low.
US-05 Growth PM	As the Growth PM, I want to track the number of times a user clicks the 'Share My Box' button, completes a share, and generates a downstream sign-up via their referral link, so that I can measure the viral coefficient (K-factor) of the feature in real time.

DEV TEAM QUESTIONS: (1) What is the engineering complexity of generating a dynamic branded image card server-side? (2) Which social platforms should we integrate with in v1 (Instagram, Facebook, X)? (3) What is the latency of the referral link tracking pipeline?